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The Semiconductor Fab Handbook

A Bottom-Up Guide to Building, Operating, and Profiting
From a 28nm/45nm Semiconductor Fab

The Semiconductor Fab Handbook

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*White paper for new semiconductor manufacturers, investors, materials suppliers, and
ecosystem planners*

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Executive Summary

Semiconductors have become one of the world's most strategically important industries, underpinning artificial intelligence, cloud computing, automotive electronics, industrial automation, communications infrastructure, and consumer devices. As governments and corporations invest billions of dollars into new manufacturing capacity, a fundamental question remains:

What does it take to build and operate a successful semiconductor fabrication facility?

Building a semiconductor fab is not simply a construction project. It is a long-cycle manufacturing capability project that combines process technology, equipment, materials, utilities, workforce development, yield learning, customer qualification, supply-chain resilience, and financial discipline.

For a new manufacturer, the central question is not only whether a fab can be built, but whether it can reach:

- Stable yield
- Qualified customers
- High utilization
- Reliable utilities
- Controlled materials
- Competitive wafer cost
- Sustainable profitability

A full-scale 300mm mature-node fab operating at 40,000-50,000 wafer starts per month (WSPM) requires significant capital, technology access, operational expertise, and customer demand. As a public benchmark, Tata Electronics' Dholera 300mm fab has been described as a 50,000 wafers-per-month facility spanning 28nm to 110nm technologies, with an announced investment of approximately US\$11 billion.¹⁻³

For most new entrants, a pure 28nm-first strategy is rarely the optimal path. A more realistic approach is to establish a 300mm **mature-node** platform, initially ramping more mature (90-45nm technologies before introducing 28nm. This progression allows the manufacturer to build stable process control, low defectivity, customer-qualified process design kits (PDKs), reliable utility infrastructure, and predictable yield performance.⁴

This white paper examines what it takes to build and operate a semiconductor manufacturing fab from the ground up. Through a structured end-to-end assessment (using a representative base case as below), we analyze the technology, infrastructure, equipment, materials, utilities, workforce, yield, supply-chain, customer, and financial requirements needed to transform a greenfield fab investment into a sustainable and profitable semiconductor manufacturing business.

Representative Base-Case Fab used for this study:

Reasons for these assumptions are explained in the next sections.

Metric	Base-Case Assumption
Wafer size	300mm
Installed capacity	40,000 WSPM
Target utilization	85%
Effective wafers/year	408,000 wafers
Technology path	45/40nm ramp → 28nm expansion
Cleanroom area	20,000-40,000 m ²
Employees	~2,500-3,000
CAPEX range	US\$7B-10B (planning estimate)
Revenue potential	~US\$1.0B/year at US\$2,500/wafer
Yield target	>85% mature functional yield
Tool availability target	>90% for critical tools

Key takeaway:

A fab becomes successful only when the building, tools, process, materials, people, customers, and economics all work together. A cleanroom without qualified customers is a depreciation machine. A process without yield is not a business. A 28nm fab without high utilization is financially fragile.

1. The Technology-Market Decision

The first decision is not technical; it is commercial. Before selecting a process technology, a new manufacturer must determine which node offers the optimal balance between market demand, manufacturing complexity, capital intensity, customer requirements, and long-term competitive differentiation.

This section evaluates the relative attractiveness of key semiconductor nodes and identifies the factors that influence node selection for a new fab entrant, including process complexity, capital expenditure requirements, ecosystem maturity, customer demand, and long-term market potential.

1.1 Technology Node comparison

When discussing semiconductor manufacturing, attention is often focused on leading-edge technologies such as 3nm, 2nm, and future process nodes. However, the majority of semiconductor volume continues to be produced on mature and mid-mature technologies. Automotive electronics, industrial automation, communication infrastructure, consumer devices, display controllers, power management ICs, and many IoT products do not require the most advanced transistor geometries to remain competitive.

Node	Typical applications	Complexity	Capex	Market attractiveness
180nm	Automotive, industrial, analog, power	Low	Low	Mature
130nm	Microcontroller unit (MCU), analog, automotive	Low-medium	Low	Mature
90nm	MCU, connectivity, industrial	Medium	Medium	Mature
65nm	MCU, connectivity, display, embedded logic	Medium	Medium	Strong
45/40nm	MCU, automotive, connectivity, display, mixed-signal	Medium-High	High	Strong
28nm	Connectivity, display, automotive logic, edge AI, consumer SoC	High	High	Very strong
22nm FD-SOI	Automotive, IoT, RF, low-power logic	High	High	Niche/specialty

For a new semiconductor manufacturer, the critical question is therefore not: "What is the most advanced node available?" but rather: **"Which node provides the best balance between market demand, manufacturing complexity, capital investment, and long-term profitability?"**

Among mature and mid-mature technologies, **28nm** has emerged as one of the industry's most commercially successful process nodes, often referred to as the industry's "golden node", the reasons for which are discussed in the next section.

1.2 Why 28nm Became a Strategic "Golden Node"

28nm technology node occupies an unusual position in semiconductor manufacturing, as it is in between traditional mature technologies and advanced nodes. This node provides substantial improvements in transistor density, power efficiency, and integration capability while avoiding the extreme complexity and cost associated with FinFET and EUV-based manufacturing.⁵

The commercial success of 28nm can largely be attributed to six structural advantages:

- Strong balance between performance and manufacturing cost
- Broad applicability across multiple end markets
- Long commercial lifecycle
- Attractive return on invested capital
- Large and mature design ecosystem
- Extensive global manufacturing infrastructure

Unlike older mature nodes, 28nm delivers sufficient performance for complex digital, connectivity, display, and automotive applications. At the same time, it avoids many of the manufacturing challenges introduced by FinFET-based technologies.

Feature	28nm	20nm	16nm / 14nm and below
Transistor type	Mostly planar CMOS, often HKMG variants	Planar, more complex	FinFET
Lithography	DUV immersion / dry DUV	DUV multiple-patterning heavy	DUV + EUV or advanced multi-patterning
Manufacturing complexity	High but manageable	Higher	Very high
Design cost	High	Higher	Very high
Economic position	Strong mature-node sweet spot	Transitional	Advanced-node economics

From a manufacturing perspective, 28nm is particularly attractive because it remains a predominantly planar CMOS technology, allowing fabs to leverage mature **DUV lithography** infrastructure while achieving significantly higher integration levels than 45nm or 65nm processes.

1.3 Why choose even more mature nodes (e.g. 45/40nm) as a new manufacturer?

Advantages of 28nm

A manufacturer may choose 28nm because it offers:

- Higher transistor density
- Lower cost per function
- Better power-performance characteristics
- Smaller die size for complex designs
- Strong relevance for:
 - Connectivity ICs
 - Display controllers
 - Advanced MCUs
 - Edge AI processors
 - Consumer SoCs
 - Automotive control systems
- Higher potential wafer average selling price (ASP) compared with older mature nodes. Public estimates place 28nm 300mm wafer pricing around US\$ 2,550 – US\$ 3,450, with an average near US\$ 3,000.⁷

The node continues to support high-volume production across consumer, industrial, networking, and automotive markets while remaining accessible to DUV-based manufacturing.

Advantages of 45/40nm

However, a new manufacturer may instead prioritize 45/40nm because it provides:

- Lower process complexity.
- Faster yield learning.
- Lower defect sensitivity.
- Simpler lithography requirements.
- Lower customer qualification risk.
- Strong automotive and industrial adoption.
- Good wafer ASP in the estimated range of US\$1,800 – 2,500 per 300mm wafer.

For a first-time fab operator, these factors can significantly reduce execution risk during the early years of operation.

Strategic Recommendation

For most new semiconductor manufacturers, the optimal strategy is not to begin with high-volume 28nm production immediately. A more practical roadmap is:

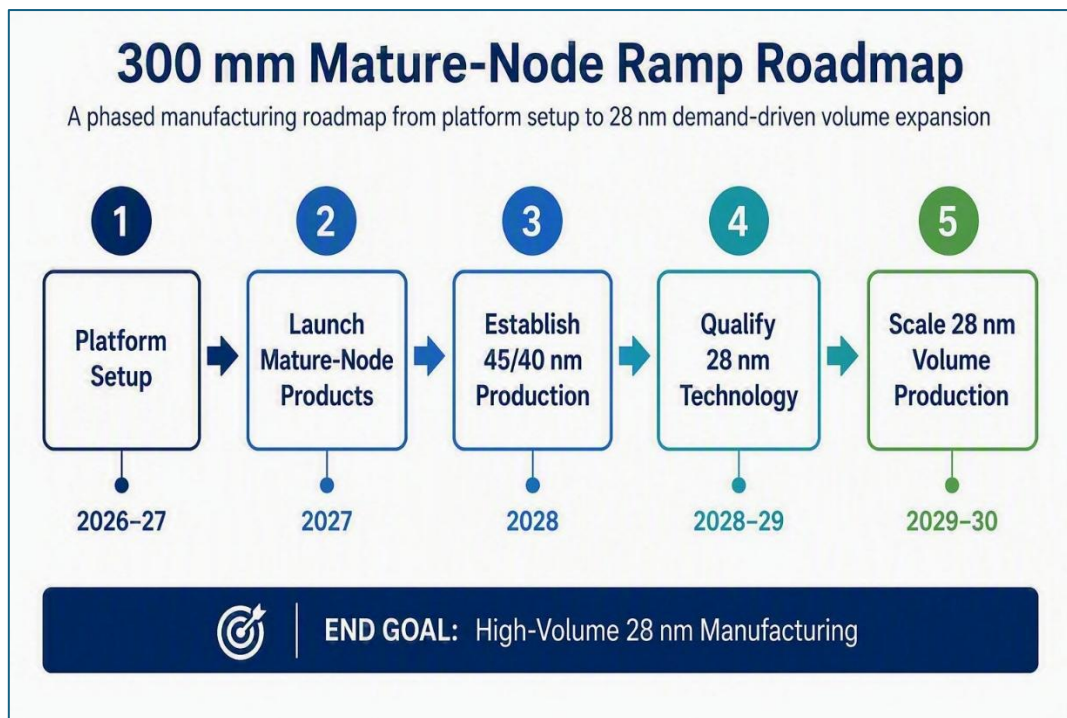


Figure 1: Simplified roadmap illustrating the phased evolution of a 300 mm fab from platform setup to high-volume 28 nm manufacturing.

This phased progression allows the organization to build the following capabilities before introducing the additional complexity associated with large-scale 28nm production:

- Process integration expertise.
- Yield-management capability.
- Metrology and inspection discipline.
- Manufacturing culture.
- Customer confidence.
- Supply-chain maturity.

Key takeaway:

Mature nodes remain the foundation of modern semiconductor manufacturing. Among them, 28nm represents one of the best balances ever achieved between performance, manufacturing complexity, ecosystem maturity, capital efficiency, and market demand, making it a highly attractive destination for new semiconductor manufacturers. However, a new manufacturer should usually build a 45/40nm-capable platform first and use it as the operational bridge to 28nm.

FULL VERSION AVAILABLE ON REQUEST

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